

Economics 2220

Principles Of Macroeconomics

Professor Zhigang Feng

Lecture 5:

Macroeconomics: The Big Picture

► What you will learn in this chapter

- What makes macroeconomics different from microeconomics
- What a business cycle is and why policy makers seek to diminish the severity of business cycles
- How long-run economic growth determines a country's standard of living
- The meaning of inflation and deflation and why price stability is preferred
- The importance of open-economy macroeconomics and how economies interact through trade deficits and trade surpluses

LEARN BY DOING: DISCUSS

With a partner (and without technology), discuss and decide what you think is the (approximate) current annual inflation rate.

<http://www.bls.gov/>

LEARN BY DOING: DISCUSS

With a partner (and without technology), discuss and decide what you think is the (approximate) current U.S. unemployment rate.

<http://www.bls.gov/>

THE ORIGINS OF MACROECONOMICS

Hoover's failure to understand what caused the Great Depression (or how it could be tamed) was common at the time.

Microeconomics was well-developed; macroeconomics was not.

The effort to understand economic slumps and find ways to prevent them is at the core of macroeconomics.

THE ORIGINS OF MACROECONOMICS



THE BUSINESS CYCLE

LEARN BY DOING: APPLICATION VIDEO



During the Great Depression, “Hoovervilles” sprang up across America, named after the economically clueless President Herbert Hoover.

The Nature of Macroeconomics

Macroeconomic Questions

Microeconomic Questions	Macroeconomic Questions
Should I go to business school or take a job right now?	How many people are employed in the economy as a whole this year?
What determines the salary offered by Citibank to Cherie Camajo, a new MBA?	What determines the overall salary levels paid to workers in a given year?
What determines the cost to a university or college of offering a new course?	What determines the overall level of prices in the economy as a whole?
What government policies should be adopted to make it easier for low-income students to attend college?	What government policies should be adopted to promote employment and growth in the economy as a whole?
What determines whether Citibank opens a new office in Shanghai?	What determines the overall trade in goods, services, and financial assets between the United States and the rest of the world?

MACROECONOMICS: THE WHOLE IS GREATER THAN THE SUM OF ITS PARTS

An example

Paradox of thrift: When families and businesses are **worried about the possibility of economic hard times**, they prepare by **cutting their spending**. **This reduction in spending depresses the economy as consumers spend less and businesses react by laying off workers.** As a result, families and businesses may end up **worse off** than if they hadn't tried to act responsibly by cutting their spending.

MACROECONOMICS: THEORY AND POLICY

Pre-1930s conventional wisdom

Self-regulating economy: Problems such as unemployment are resolved without government intervention through the working of the invisible hand.

Post-1930s conventional wisdom

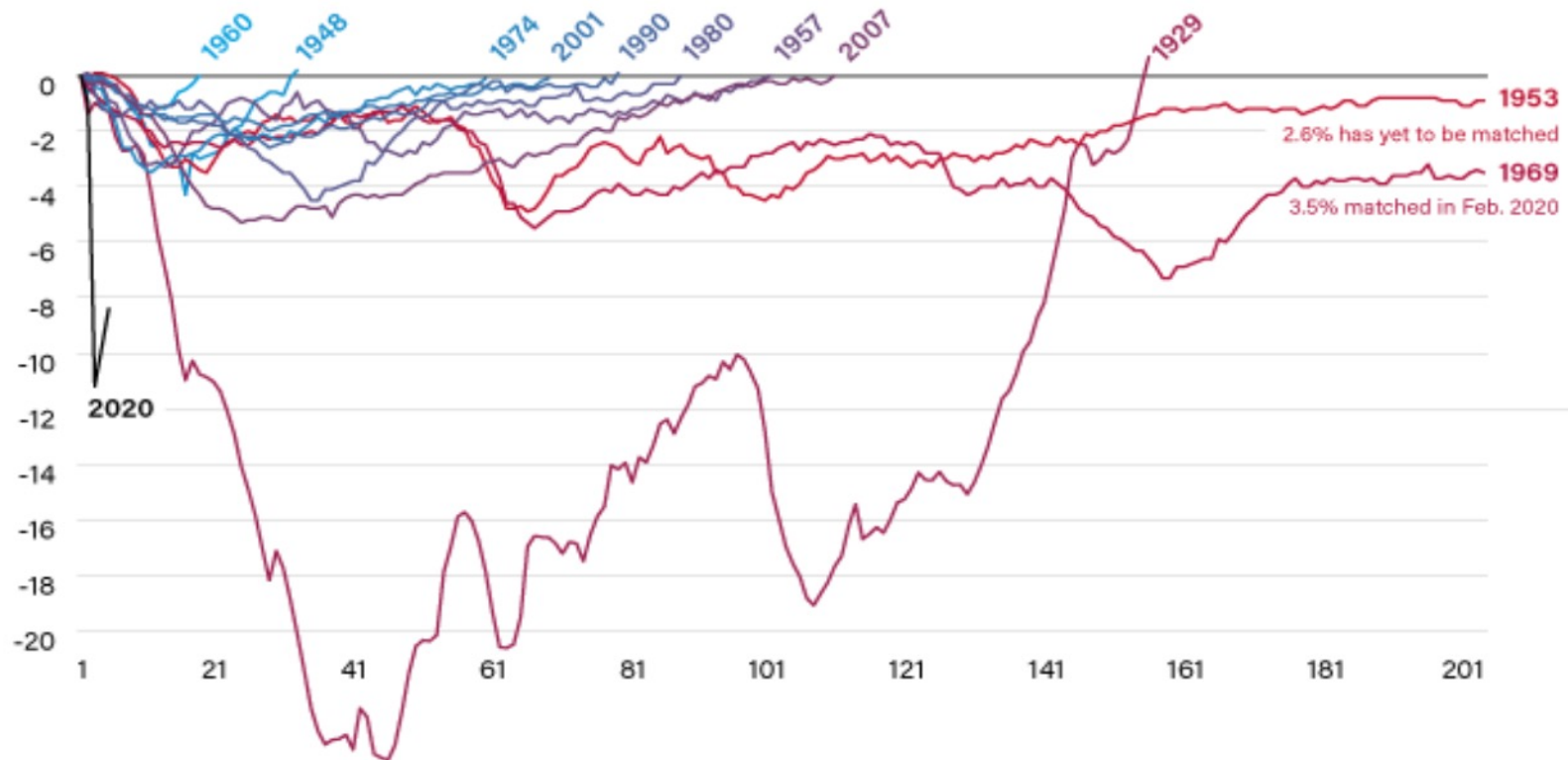
Keynesian economics: Economic slumps are caused by inadequate spending, and they can be mitigated by government intervention.

COMPARING THE GREAT RECESSION TO THE GREAT DEPRESSION

Measures of economic activity and world industrial production during the Great Depression and the Great Recession

Percent job losses in recessions of the 20th and 21st centuries

Number of months until monthly unemployment rate returned to its pre-recession low



Source: Bureau of Labor Statistics, National Bureau of Economic Statistics, Eurasia Group

Note: 1929 Great Depression data comes from NBER, all other data comes from BLS

MACROECONOMICS

“The long run is a misleading guide to current affairs. In the long run we are all dead. Economists set themselves too easy, too useless a task if in tempestuous seasons they can only tell us that when the storm is past the ocean is flat again.”

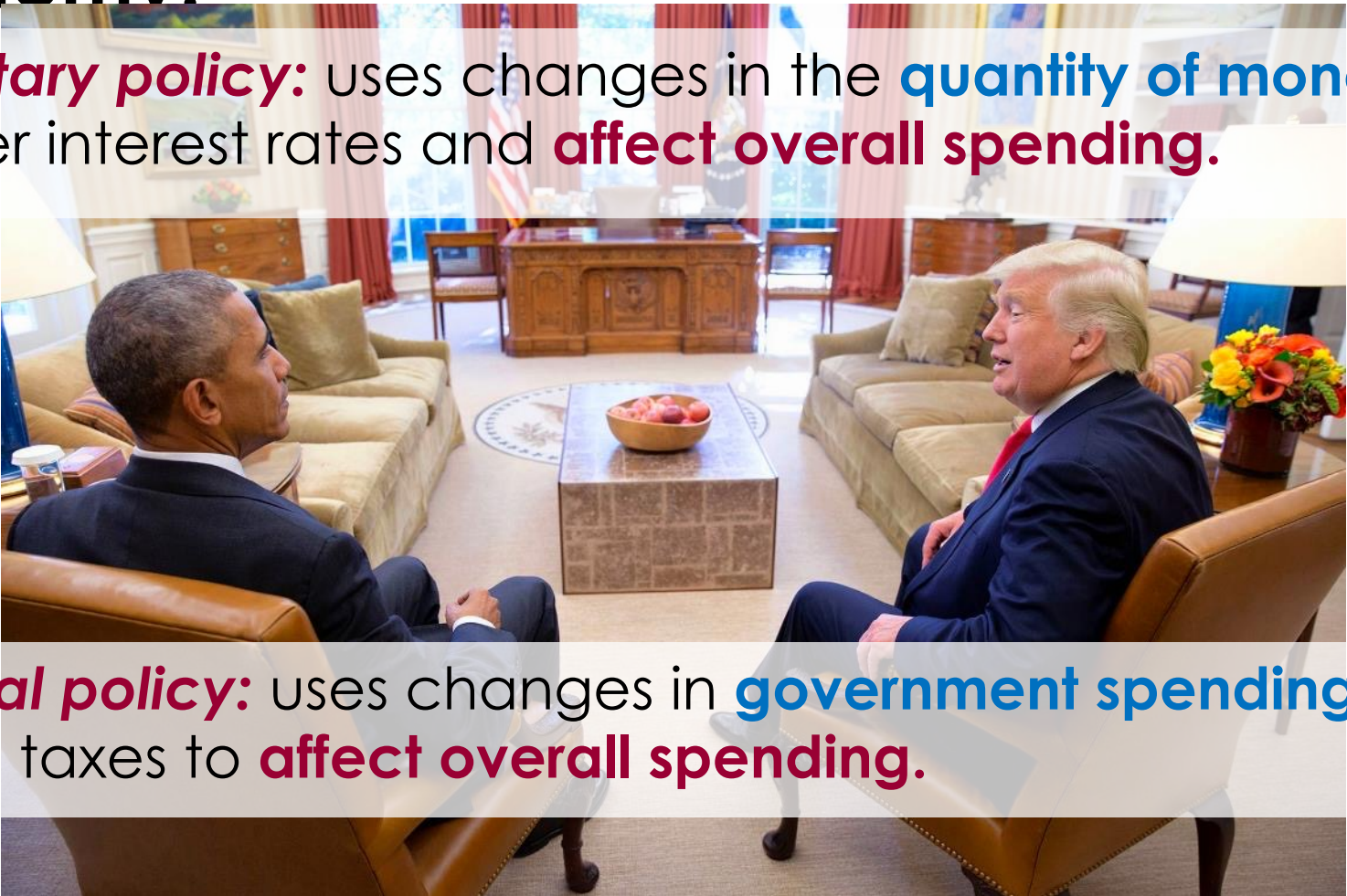
-John Maynard Keynes, *A Tract on Monetary Reform* (1923) Ch. 3



THE BUSINESS CYCLE

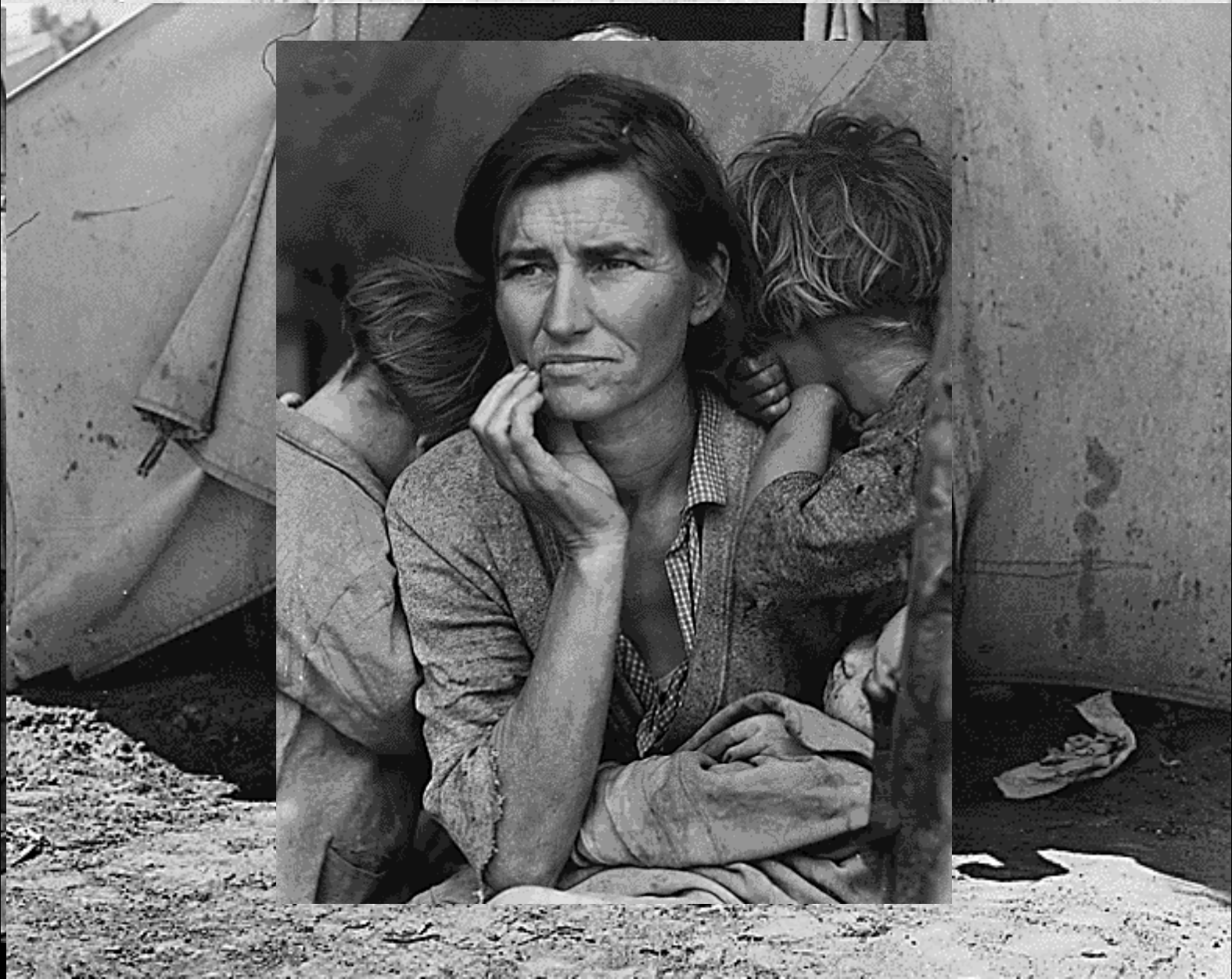
Since the 1930s, the U.S. (and most national governments) uses tools to improve the economy.

Monetary policy: uses changes in the **quantity of money** to alter interest rates and **affect overall spending.**



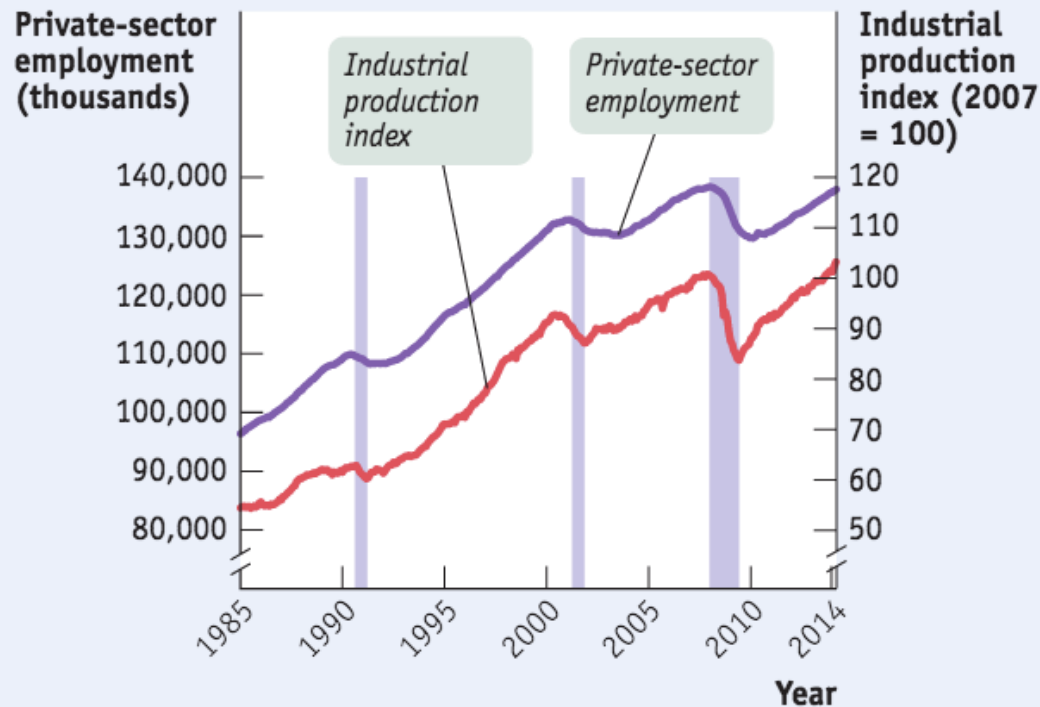
Fiscal policy: uses changes in **government spending** and taxes to **affect overall spending.**

IMAGES OF THE DEPRESSION

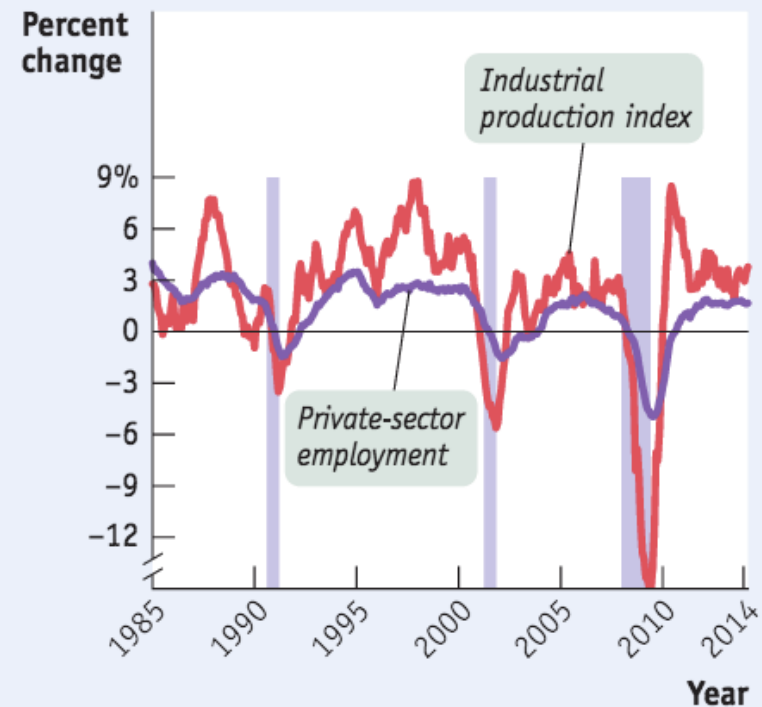


GROWTH INTERRUPTED, 1985–2014

(a) Private-Sector Employment and Industrial Production Index



(b) Percent Change from Year Earlier



Source: Federal Reserve Bank of St. Louis (Shaded areas are recessions)

CHARTING THE BUSINESS CYCLE

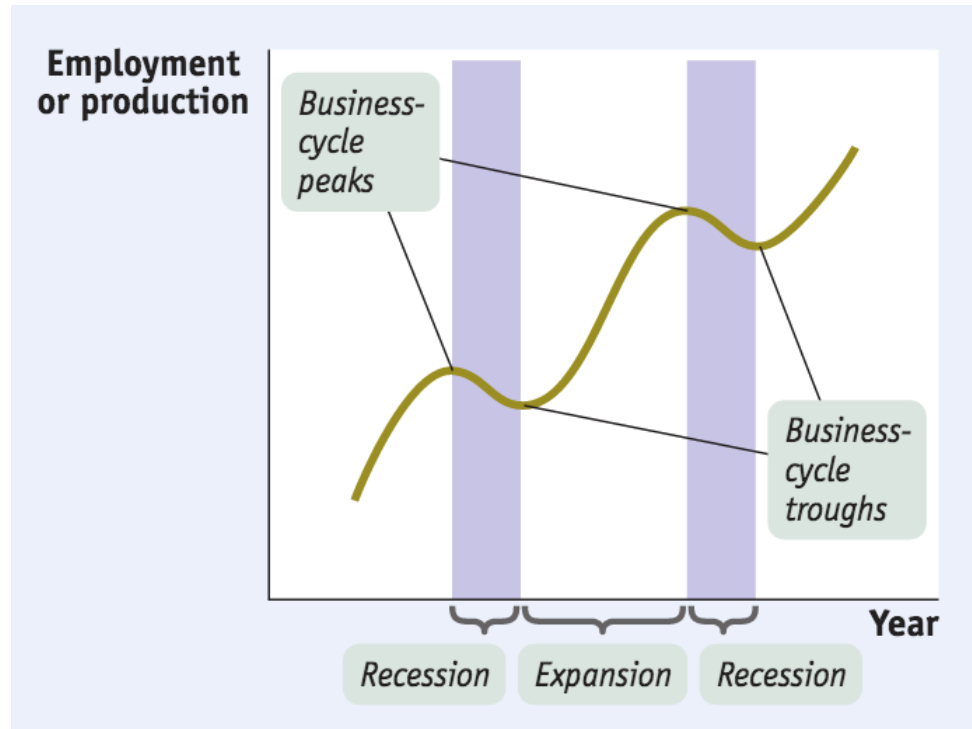
Recessions (contractions): periods of economic downturn, when output and employment are falling.

Expansions (recoveries): periods of economic upturn, when output and employment are rising.

Business cycle: the short-run alternation between recessions and expansions.

THE BUSINESS CYCLE

The point at which the economy turns from expansion to recession is a **business-cycle peak**.



The point at which the economy turns from recession to expansion is a **business-cycle trough**.

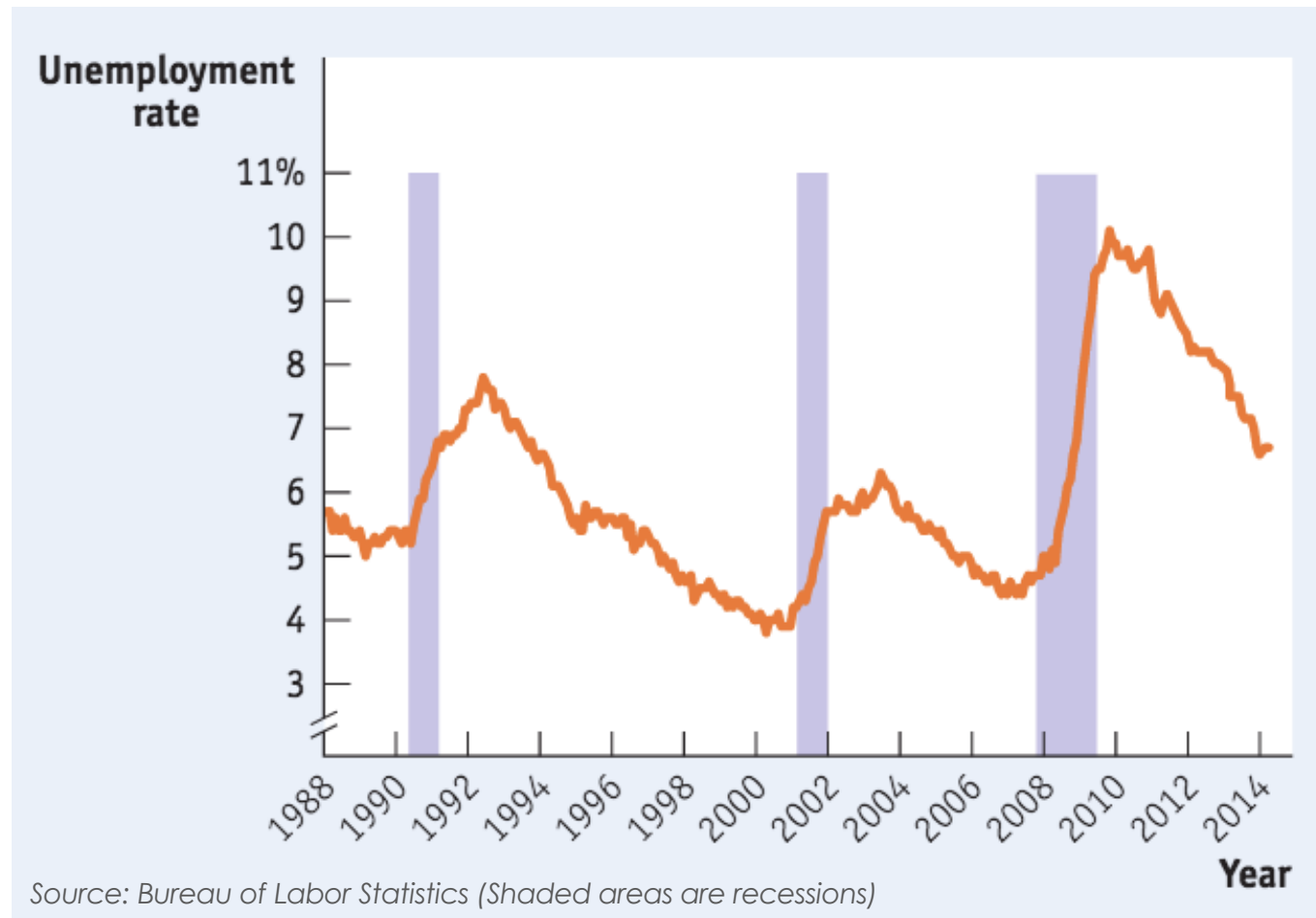
THE PAIN OF RECESSION



The most important effect of a recession is its effect on the ability of workers to find and hold jobs.

TAMING THE BUSINESS CYCLE

The business cycle is a main concern of modern policy makers: they try to smooth out the business cycle. They haven't been completely successful.



LEARN BY DOING: PRACTICE QUESTION

The use of taxes and government spending to change the overall level of spending in an economy is called:

- a) monetary policy.**
- b) fiscal policy.**
- c) either monetary or fiscal policy depending upon what is happening to the interest rate.**

LEARN BY DOING: PRACTICE QUESTION

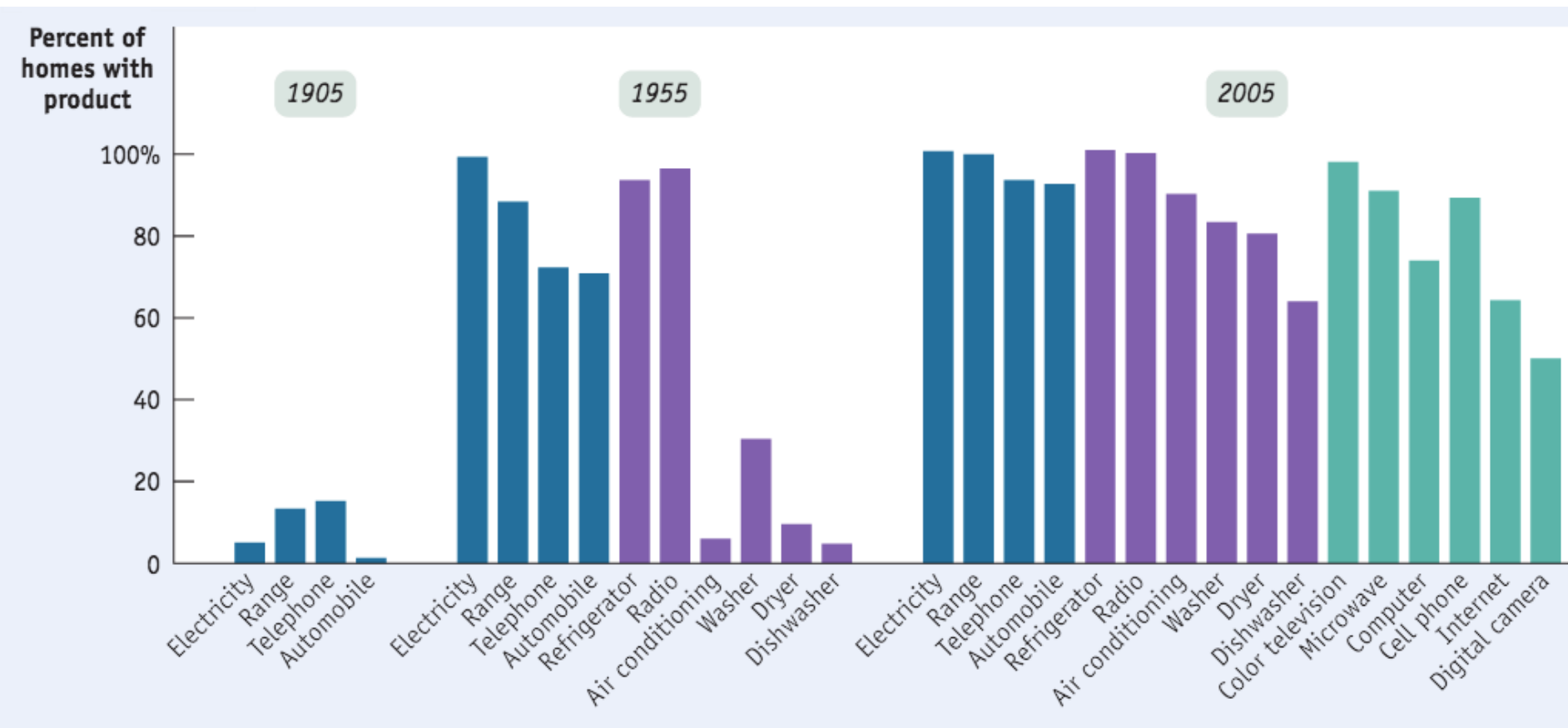


Do you think the government is right to begin massive spending programs during deep recessions?

- a) Yes
- b) No

LONG-RUN ECONOMIC GROWTH

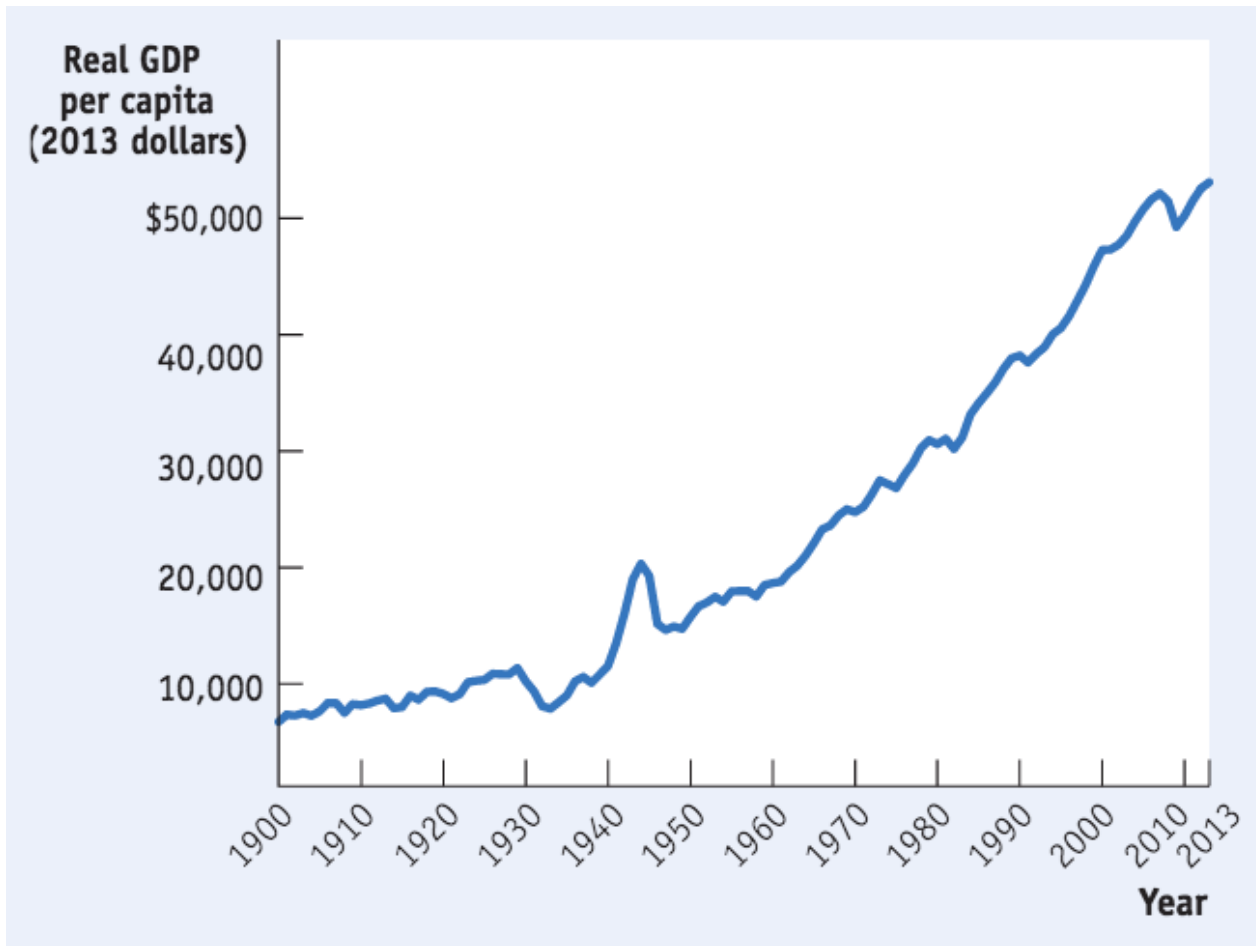
Long-run economic growth is the sustained upward trend in the economy's output over time.



Source: W. Michael Cox and Richard Alm, "How Are We Doing?" *The American* (July/August 2008).
<http://www.american.com/archive/2008/july-august-magazine-contents/how-are-we-doing>

GROWTH, THE LONG VIEW

Americans have become able to afford many more material goods over time thanks to long-run economic growth.



Sources: Angus Maddison, *Statistics on World Population, GDP, and Per Capita GDP, 1–2008AD*, <http://www.ggdc.net/MADDISON/oriindex.htm>; Bureau of Economic Analysis.

GROWTH, THE LONG VIEW

Long-run growth is a relatively modern phenomenon.





A TALE OF TWO COUNTRIES

Canada and Argentina began the 20th century looking like twins...

Political instability and high inflation slowed Argentina down.

Now Canada's standard of living is on par with the U.S., 3x as high as Argentina

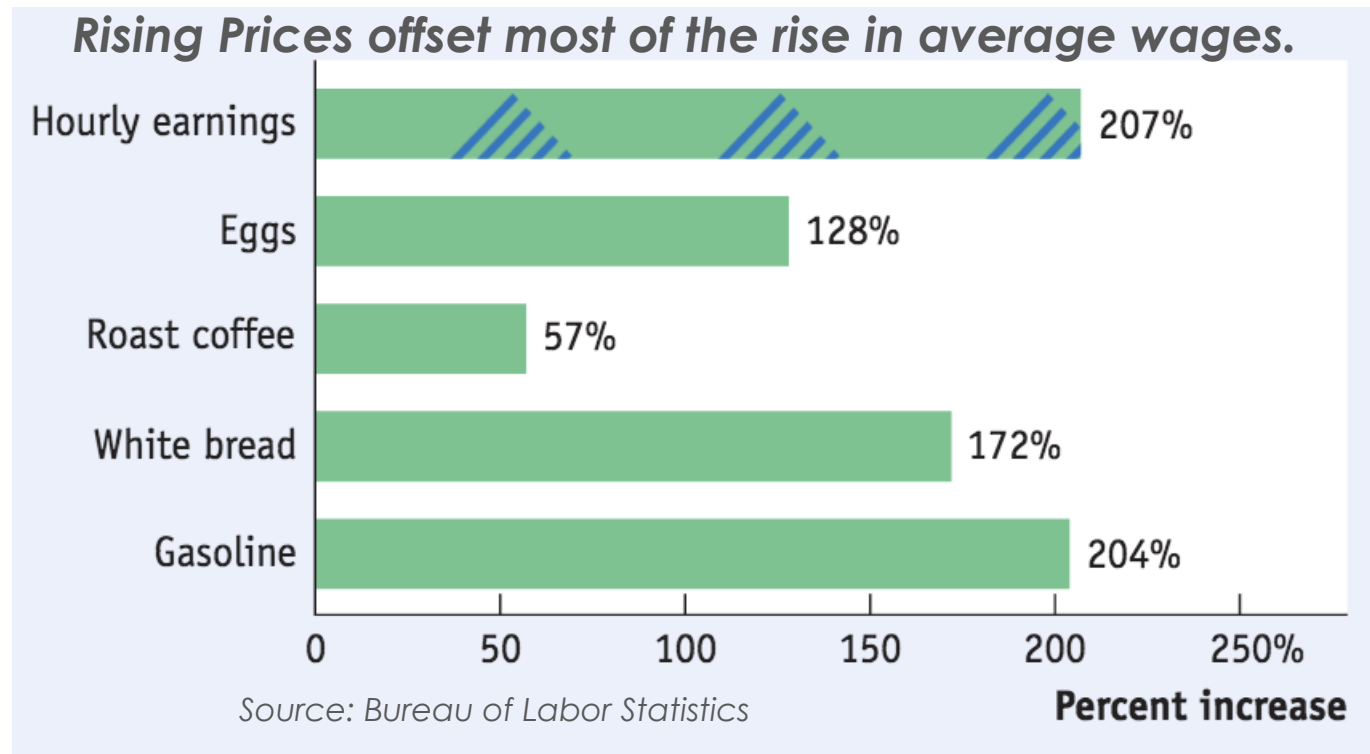


INFLATION AND DEFLATION

A rising overall level of prices is ***inflation***.

A falling overall level of prices is ***deflation***.

The economy has ***price stability*** when the overall level of prices changes slowly or not at all.



THE CAUSES OF INFLATION AND DEFLATION

In the **short run**, movements in **inflation** are **closely related to the business cycle**.

When the economy is depressed and jobs are hard to find, inflation tends to fall; when the economy is booming, inflation tends to rise.

In the **long run**, the overall level of **prices** is mainly determined by **changes** in the **money supply**.

THE PAIN OF INFLATION AND DEFLATION

Both inflation *and* deflation are problematic.

- **Inflation discourages people from holding onto cash** (because cash loses value if prices are rising). In extreme cases, **people stop using cash altogether.**
- **Deflation** can cause the reverse problem. Since cash gains value if the price level is falling, **holding on to it is more attractive than investing in new factories and other productive assets.** This can **deepen a recession.**

321 GODFREY M.
 NO. GUESTS CITY STATE
 1 MATAPAN MASS
 12-19-72

FOLIO NUMBER 52791	
RATE 15.00	PBX OUT
ARRIVE 11/19/73	DEPART 12/23
TOTAL	
PAID BY: ☐ CASH ☐ CHECK ☒ CREDIT CARD KIND MC ID NO.	



Holiday Inn
 OF
SANTA MONICA
 120 Colorado Avenue
 SANTA MONICA, CALIFORNIA 90401

TELEPHONE 451-0676
 AREA CODE 213

From
 Folio To
 RATE

D ROOM 321 13.00
 D TAX 321 00.65
 T D 000 13.65
 A 321 13.65
 A REST 321 01.15
 T A 000 14.80
 D 321 14.80
 D ROOM 321 13.00
 D TAX 321 00.65
 T D 000 28.45
 A 321 28.45
 A REST 321 02.25
 T A 000 30.71
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HURRY BACK



Wyndham Santa Monica at the Pier

120 Colorado Ave, Santa Monica, CA
 4.0 ★★★★★ 559 reviews

[Ads](#) **BOOK A ROOM**

B Booking.com

King Room
 2 guests
 Total: \$290/night **\$251** >

King Room
 2 guests · refundable
 Total: \$322/night **\$279** >

32 room rates

H Hotels.com

Standard Room, 1 King Bed, Non Smoking
 2 guests
 Total: \$292/night **\$251** >

INTERNATIONAL IMBALANCES

The United States is an *open economy*: it trades goods and services with other countries.

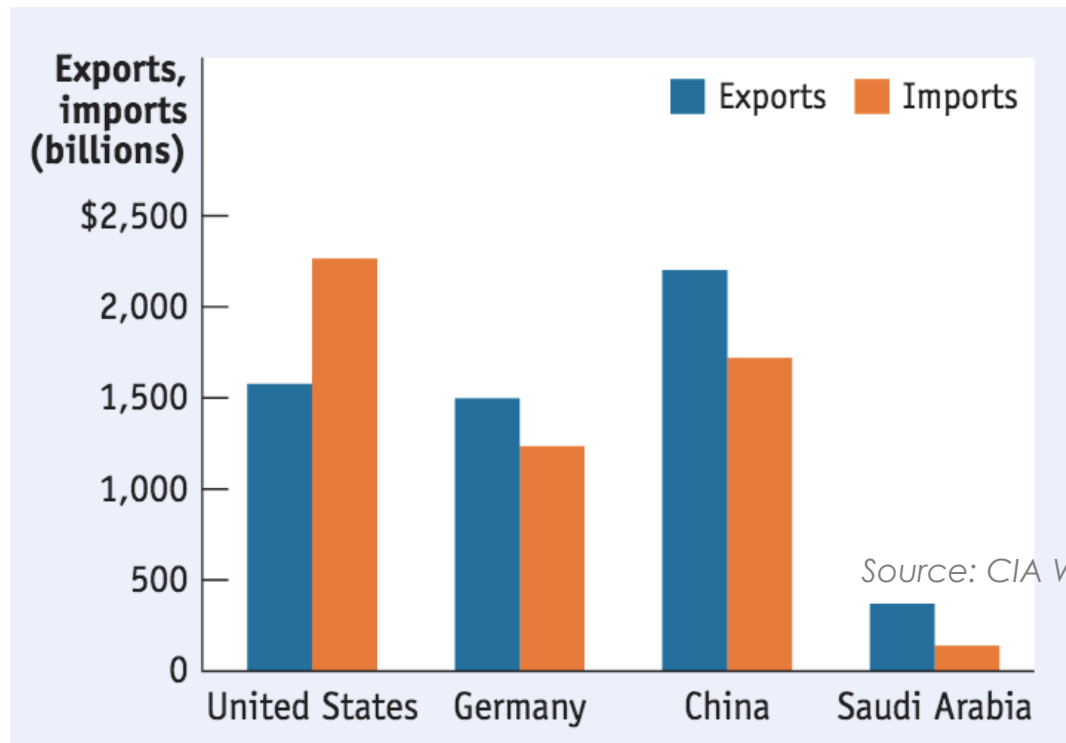
In 2013, the United States ran a big *trade deficit*.

Trade deficit: the value of goods and services bought from foreigners is more than the value of goods and services sold to them.

Trade surplus: the value of goods and services bought from foreigners is less than the value of the goods and services sold to them.

WHAT CAUSES TRADE IMBALANCES?

In a later chapter we'll learn the surprising answer: the determinants of the overall balance between exports and imports lie in *decisions about savings and investment spending*. **Countries with high investment spending relative to savings run trade deficits; countries with low investment spending relative to savings run trade surpluses.**



Source: CIA World Factbook.

LEARN BY DOING: PRACTICE QUESTION

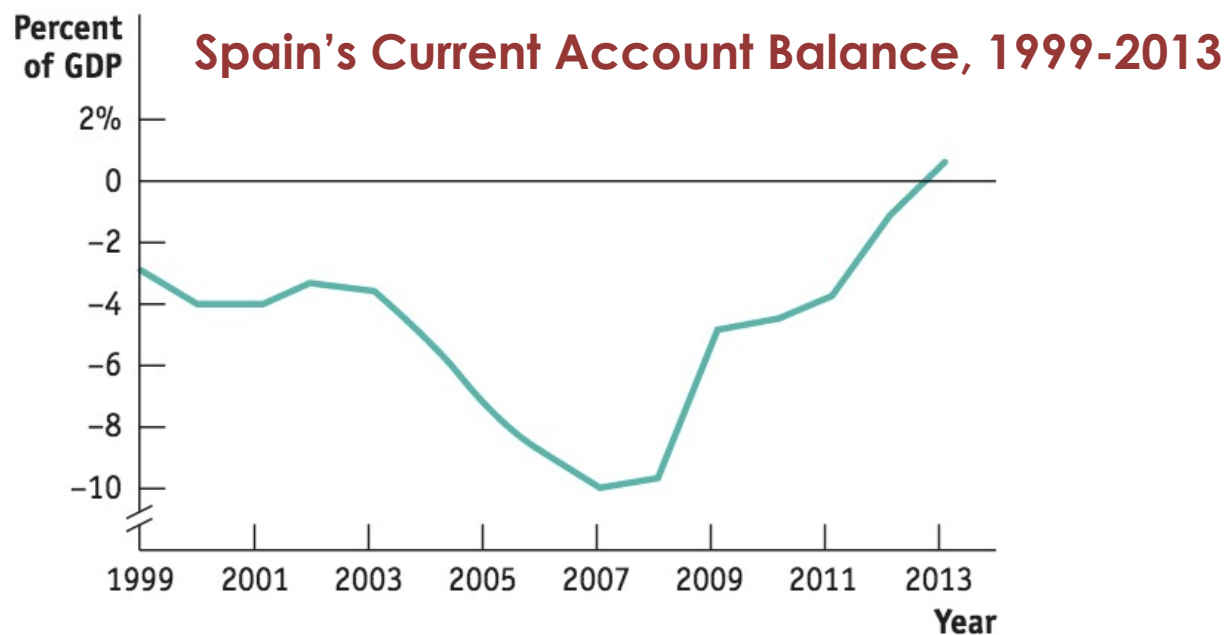
This year the value of a country's imports is equal to \$1.2 billion, and the value of its exports is equal to \$1.3 billion. This country is running a:

- a) trade surplus.**
- b) trade deficit.**

SPAIN'S COSTLY SURPLUS

Giving up the Peseta for the Euro (and closer union with Europe) in 1999 had benefits... and costs

Did the influx of foreign investment afterward lead to the housing boom (and bust) that brought down Spain?



Source: International Monetary Fund.

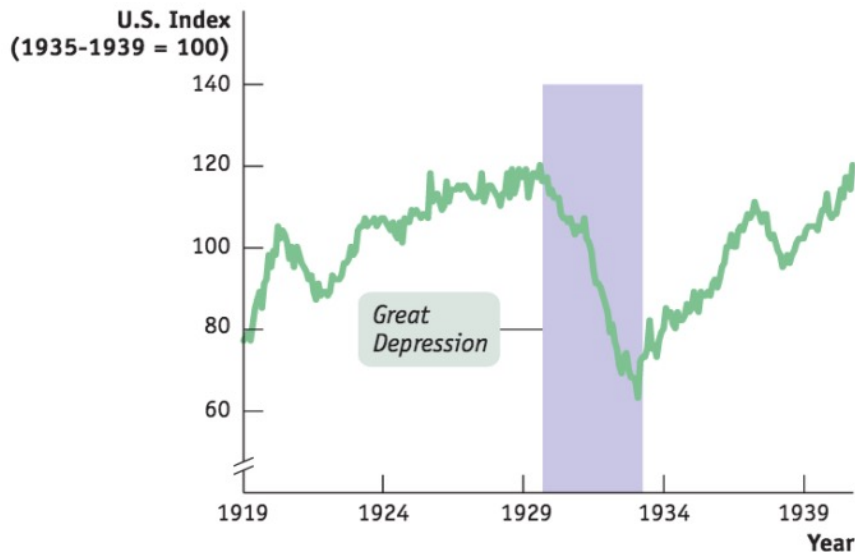
LEARN BY DOING: BUSINESS CASE

THE DECLINE OF MONTGOMERY WARD

(THE IMPORTANCE OF UNDERSTANDING THE MACROECONOMY)

1930's: Montgomery Ward survived the Depressions by cutting costs and hoarding cash

1940's: Expecting a similar environment post WWII, they repeated the strategy... and didn't open a new store until 1959... far too late to stop their decline



Source: National Bureau of Economic Research.

LEARN BY DOING: BUSINESS CASE

<https://www.wsj.com/video/series/daniela-hernandez/inflation-brain-why-you-seesaw-between-splurging-and-penny-pinching/38E64AFC-EB4E-43A1-89BB-5E524EEA5CDB>

LEARN BY DOING: APPLICATION VIDEO

You might not understand everything mentioned in [this](#) epic economist rap battle YET...but you will enjoy it and get a taste for the philosophical debates about stabilization policy within macroeconomics. (6:28 minutes)

